IN THE ADMINISTRATIVE APPEALS TRIBUNAL
PERTH REGISTRY
GENERAL DIVISION **AAT No. 2023/3361**

BETWEEN: **SIMON REID**
Applicant

AND:

COMMISSIONER OF THE NDIS QUALITY AND SAFEGUARDS COMMISSION
Respondent

APPLICANT'S STATEMENT OF FACTS, ISSUES AND CONTENTIONS

Nature of Application

1. On 21 December 2022, the Respondent made a banning order against the Applicant under s 73ZN(2)(a)(iii) of the *National Disability Insurance Scheme Act 2013* (Cth) (**NDIS Act**).
2. After the Decision was made, the Applicant applied for internal review in pusuant to section 100 of the NDIS Act**.**
3. The decision subject of review in this application is a reviewable decision of the Respondent, dated 21 April 2023 (**Decision Letter**). It can be found at T document 64.1.
4. The Decision Letter decided that the Applicant was not suitable to be involved in the provision of support or services to people with disability of the National Disability Insurance Scheme (NDIS), pursuant to section 73ZN(2)(a)(iii) of the NDIS Act.
5. The ultimate consequence of the Decision Letter was to amend the banning order originally made against Mr Reid under section 73ZN(2)(a)(iii).
6. There are three applicants to this matter: Ms Vida Reid (2023/3361), Simon Reid (2023/3363) and Forward Focused Group Pty Ltd (2023/4494).
7. The matters were joined as per Deputy President Mischin's Directions dated 19 July 2023.
8. This Statement of Facts, Issues and Contentions relates to Mr Simon Reid's application to the Tribunal only.

Contentions of the Applicant, Mr Reid

9. In summary, Mr Reid contends or submits the following:

(a) the Decision Letter corrects identifies a number of deficiencies with the original Decision;

(b) the Decision Letter fails to make any reference to, or have regard to, any matters prescribed by the NDIS rules for the purposes of subparagraph 73ZN(2)(iii), as necessary under section 73ZN(2)(a)(iii);

(c) Mr Reid challenges the Decision Letter on various grounds, including:

i. its main finding was on grounds that it is no longer in existence; and

ii. there is little or no reliable evidence adverse to Mr Reid;

(d) Mr Reid contends he has done nothing wrong, and there is little or no reliable evidence adverse to Mr Reid before the Tribunal. There is no justification for banning Mr Reid from being involved in the provision of support or services to people with disability;

(e) the Respondent's investigation and evidence ultimately provided to the Tribunal is suspect in the sense that:

i. the Respondent appears to have conducted itself with adversarial bias against Mr Reid in the course of its investigation and the evidence it has provided and has not provided the Tribunal;

ii. the Tribunal has not been provided with all the relevant evidence in the Respondent's possession or custody;

iii. only the directors of the relevant companies have been targeted by the Commission and not any other person or persons, despite the terms of section 73ZN(2)(a)(iii); and

(f) the current banning order is excessively wide and unreasonable.

Statutory Framework

10. Section 73ZN(2) of the NDIS Act gives the Commissioner the discretion to make a banning order prohibiting or restricting a person employed or otherwise engaged by an NDIS provider:

'*The Commissioner may, by written notice, make an order prohibiting or restricting a person who is or was employed or otherwise engaged by an NDIS provider, or a person who is or was a member of the key personnel of an NDIS provider, from engaging in specified activities if:*

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(a) the Commissioner reasonably believes that:

(i) the person has contravened, or is contravening, or is likely to contravene this Act; or

(ii) the person has been involved in, or is likely to become involved in, a contravention of this Act by another person; or

(iii) the person is not suitable to be involved in the provision of supports or services to people with disability, having regard to any matters prescribed by the National Disability Insurance Scheme rules for the purposes of this subparagraph; or

(iv) there is an immediate danger to the health, safety or wellbeing of a person with disability if the person continues to engage in the specified activities; or

(b) the person is convicted of an offence involving fraud or dishonesty; or

(c) the person becomes an insolvent under administration.'

(Italicised emphasis added)

Deficiencies with the Original Decision

11. The Decision Letter concludes that there were a number of erroneous or wrong findings of the original NDIS decision in relation to Mr Reid's involvement in the two companies in question and the invoicing of NDIS for services allegedly not provided, such as making findings against him when he was not a director at the relevant time.[1]

The Decision Letter and the NDIS rules

12. As noted above, a banning order is in place against Mr Reid. This order was made under section 73ZN(2)(a)(iii) which enables such an order to be made where "*the person is not suitable to be involved in the provision of supports or services to people with disability, having regard to any matters prescribed by the National Disability Insurance Scheme rules[2] for the purposes of this subparagraph*".
13. However, the Decision Letter fails to make any reference to, or indicate in any way, that the NDIS Rules and the matters prescribed by those rules were taken into

[1] See for example the T Documents at p 1342 paragraph 32 of the Decision Letter.
[2] Our emphasis.

account, or had regard to, as necessary under section 73ZN(2)(a)(iii) when making its decision vis-à-vis Mr Reid.

14. The said NDIS Rules have also not been produced by the Respondent for the Tribunal.

The reasons for the current banning order – Mr Reid's response

15. In summary, the Decision Letter refers to 5 grounds or reasons justifying the banning order it imposed/varies on Mr Reid. Each of those are dealt with in turn below.

Meghan Goodwin

16. The Decision Letter refers to a Statement of Material Facts dated 19 October 2022 filed in the now defunct criminal proceedings against Mrs Reid, as containing information relevant to the assessment of Mr Reid's suitability, in particular in relation to a company called Zettai Pty Ltd and a Ms Meghan Goodwin.
17. The Commission claimed Zettai Pty Ltd (trading as Assist Plan Manager) (APM) submitted claims to NDIA for services provided to Ms Meghan Goodwin that were, in fact, never provided. APM was paid by NDIS for the 'services', and the money was subsequently transferred to Hybrid Hive.
18. Because Mr Reid was a co-signatory to Hive's bank accounts, the Commissioner concluded that he was a recipient of the proceeds of the crime.[3] This notwithstanding, no evidence appears to have been considered as to who created the claims in question, who transferred the funds, why they transferred them to Hybrid Hive and whether Mr Reid was aware of any of these matters.
19. The Decision Letter noted Mr Reid was not a director of FFG at the relevant time and referred to an NDIA' Tactical Intelligence Report' dated 18 August 2022 that stated it was not known what proportion of services in question were, in fact, provided.
20. Ultimately, the Decision Letter does not seem to have decided Mr Reid's involvement or culpability in relation to this allegation.[4]
21. It is unfortunate that the decision letter is not clearer as to what the final Decision is.
22. In any event, Mr Reid says he was unaware of the above matters and was not involved in them.
23. Notably, Ms Goodwin states, *"Simon never was involved with providing the services"*.[5]

[3] T Documents, T64.1 p 1340
[4] Ibid at p1340
[5] T Documents, T18, p 599, paragraph 5.

Sarah-Jane Clulow

24. There was another allegation in the Decision Letter that FFG made fraudulent claims in relation to Sarah-Jane Clulow's NDIS plan. The Decision Letter states that Mr Reid was not a director of FFG at the time and, therefore, "this conduct cannot reasonably or appropriately be attributed to Mr Reid".6
25. In any event, Mr Reid says he was not involved in the provision of services to Ms Clulow or billing NDIS in relation to her.

Hybrid Hive Pty Ltd

26. The Commission alleged Hybrid Hive submitted claims against NDIS participants' plans where there were no service agreements in place. The claims occurred without the participant's consent or knowledge. False claims were submitted where support or services were not provided.7
27. The Decision Letter refers to 3 witness statements as examples in relation to the allegation:
    (a) Gina Regali, dated 11 October 2022;
    (b) Hrimnir Benediktsson, dated 12 October 2022; and
    (c) Jessica Rose Smith, dated 14 October 2022.
28. However, when one takes a closer look at these statements, one can see that they are not adverse to Mr Reid.
29. Ms Regali's witness statement concerns alleged non-provision of services by Hybrid before Mr Reid was a director of the company.
30. Mr Benediktsson's witness statement refers to having contact with Mr Reid when Hybrid was first engaged by him, that is all. He makes no adverse comments about Mr Reid.8
31. Ms Jessica Rose Smith's witness statement does not refer to Hybrid Hive save to annex the company's invoices to her statement. She refers to FFG in her witness statement in relation to claims made in periods when Mr Reid was not a director of that company.
32. The Decision Letter does not seem to have decided Mr Reid's involvement or culpability in relation to these allegations above save to give minimum weight to the material.

[6] T Documents T64.1 p1340 – 1341.
[7] T Documents, T64.1, p1341,
[8] T Documents T29

33. It is unfortunate that the Decision Letter is not clearer as to what the final Decision is.
34. In any event, Mr Reid says he was unaware of the above matters and was not involved in them.

Reports of suspicious Invoices

35. The Decision Letter refers to 11 separate reports of suspicious invoices from FFG and Hybrid Hive at paragraph 29(h)(v).
36. Mr Reid submits that he has no knowledge of the matter, which is the subject of the allegation. At all material times, he understood Hybrid Hive (or FFG) was only billed for services and supports requested and consented to by NDIS participants, and they were actually provided. At no time did he suspect otherwise or was aware of matters to the contrary.
37. He also states that whilst he was a director of both FFG or Hybrid Hive, from time to time, he had limited involvement in the companies and, in particular, their day-to-day operations.
38. Furthermore, from the documents produced, it is submitted that the Commission admits it has limited information about Mr Reid's actual involvement in the companies' operations and considers him to have been the "absent boss most of the time".[9] That is correct because, as Mr Reid contends, he was not regularly involved in their day-to-day operations.
39. This is also corroborated by Ms Fanny-Dulloo, who states that 'he had no involvement with FFG'.[10]
40. She stated to NDIS investigators, *"It's the same. Like, you know, we – we worked – like, he wasn't even – he wasn't really around in the office at all. So – so we didn't really see him. Or he would come just to make sure everything is – is going okay, and – and then, he would go and do – you know, I don't know what he did, but he's not – he was not in the office. We don't really see him unless if there's something very important that needed to be discussed between the management team, and then he will be here, but otherwise he's not really here.*"[11]

[9] T Documents, T9.11, p 225.
[10] T Documents T58 p 1178
[11] T Documents T58 p 1179

41. Another Commission witness, Jonathan Charles Shapiera, states, *"At HH[12] I dealt with Simon Reid …Since I started with FFG[13] I have been happy with the services I have received".*[14]

42. The Decision Letter at paragraph 38 states it is appropriate to attribute liability to Mr Reid of corporate wrongdoing of the companies he was a director when he was a director. He should have been aware of Hybrid Hive's alleged conduct.

43. Specifically, the Decision Letter states at paragraph 38 that:

> *'It is appropriate to attribute liability to Mr Reid for the wrongdoing of the corporate entity he directs and the conduct of the workers employed or otherwise engaged by that company.*
>
> *The law regards Mr Reid as being in a position of responsibility, authority and control over Hybrid.*
>
> *A person who stands in such a position and is able to exert significant influence over the planning, directing and controlling of the activities of an entity can be, appropriately held accountable for impropriety caused by the corporate entity (or its officers).*
>
> *Additionally, it is worth noting that company directors are subject to a range of legal duties under the Corporations Act 2001. Primary amongst these is the duty to act with care and diligence (under section 180 of the Corporations Act). Directors must exercise their powers and discharge their duties with the degree of care and diligence that a reasonable person would exercise if he or she were a director in the company's circumstances and had the same responsibilities of that director.*
>
> *In my view, this duty requires a director to be familiar with, stay informed and make appropriate enquiries about the company's activities.*
>
> *Mr Reid should have been aware of the conduct allegedly being engaged in by, and within Hybrid.'*

44. In terms of the application of the law in relation to the comments set out in the Decision Letter, the law has NOT been applied in accordance with established precedent, and the Decision Letter at paragraph 38 is simply wrong in everything that has been set out above. The following points are submitted to the Tribunal.

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[12] Hybrid Hive.
[13] Forward Focussed Group.
[14] T Documents, T19, p 631, paragraphs 10 and 11.

(a) There is no principle of strict liability that exists in the *Corporations Act 2001* (Cth) as it relates to company directors in terms of section 180, and nowhere in the NDIS Act is any similar notion of strict liability introduced for company directors. The Decision Letter cites no precedent, authority, or legislative provision for the assertion that is made.

(b) There is no principle of strict liability that exists in the *Corporations Act 2001* (Cth) as it relates to company directors for the conduct of workers employed or otherwise engaged by a company, and nowhere in the NDIS Act is any similar notion of strict liability introduced for company directors. The Decision Letter cites no precedent, authority, or legislative provision for the assertion that is made.

(c) The law does not impute Mr Reid to be in a position of responsibility, authority, or control over Hybrid. The law simply regards Mr Reid as a director of Hybrid for the times that he is a director of Hybrid, and at those times, depending on a review of the actual material facts relating to the conduct and behaviour of Mr Reid, it may be that he has acted in a position of responsibility, authority or control over Hybrid. The information put forward in the Decision Letter makes it clear that Mr Reid was regarded as the *'absent boss most of the time'*, which is, *prima facie*, totally the opposite of being in a position of responsibility, authority or control. The Decision Letter makes no review of any material facts relating to the conduct and behaviour of Mr Reid to be able to make any determination that he was a person of responsibility, authority or control over Hybrid.

(d) It is correct that a person who stands in a position of responsibility, authority or control and who is able to exert influence over the planning, directing and controlling of the activities of an entity can be, appropriately held accountable for the impropriety caused by the entity or the officers of the entity. In terms of Mr Reid, the Decision Letter makes no review of any material facts relating to the influence of Mr Reid over the planning, directing and controlling of Hybrid. Without such a review of the relevant facts, the statement simply has no relevance to Mr Reid and is mere puffery.

(e) The general statement in the Decision Letter pertaining to the duties of directors under section 180 of the Corporations Act 2001 correctly states

the position set out by *Daniels v AWA Ltd*[15] and subsequent cases, which is: '*Directors must exercise the degree of care and diligence that a reasonable person would exercise in the company's circumstance and with the same responsibilities as the director'*.

(f) However, the Decision Letter makes no review of any material facts that set out what the responsibilities of Mr Reid were or what the company's circumstances were. Again, all that we are left with is the Commission finding that Mr Reid was the *'absent boss most of the time'*. That finding, which is the only relevant finding, strongly suggests that the responsibilities of Mr Reid were very limited. Consideration must be given to the type of company involved; the size and nature of its business or businesses; the provisions of its constitution; the composition of the board and the distribution of the work between the board and other officers; the status of the company as a listed or unlisted entity; and, in the case of a parent company, the size and nature of the businesses of its subsidiaries if they are under the general supervision of the parent: *Australian Securities & Investments Commission v Rich*[16], which was not done.

(g) The Decision Letter expresses the author's opinion about what a director should be doing in a corporation, but it has no reference to Mr Reid (the specific director), and it has no reference to Hybrid (the specific company). Further, it makes no finding about what enquiries Mr Reid made of the employed staff, and it makes no reference to what a reasonable person would have done in the circumstances of Mr Reid - perhaps because there had been no determination made of the circumstances of the company and the responsibilities of Mr Reid by which to involve the reasonable person. Assessing what a reasonable person would have done is essential to determining the reasonableness of Mr Reid's actions, as set out in *Permanent Building Society (in liq) v Wheeler*[17], which was not done.

(h) The Decision Letter determines that Mr Reid should have been aware of the conduct allegedly being engaged in by, and within, Hybrid, and it does so without any of the aforementioned specific requirements of section 180 of the *Corporations Act 2001* (Cth) being addressed and even more concerning,

[15] (1995) 13 ACLC 614.
[16] [2009] NSWSC 1229.
[17] (1994) 11 WAR 187.

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is that it makes a positive finding that Mr Reid should have known about what is alleged to have taken place, not what actually was taking place, and then allocates culpability to Mr Reid for those allegations as if they were facts, but they are merely unproven allegations.

(i) In making a determination about the responsibilities of Mr Reid as a director, the Decision Letter would need to have addressed the issues raised in *Australian Securities & Investments Commission v Vines*[18], which requires a detailed consideration of all of the tasks allocated to the director and all the circumstances surrounding his role, which was not done. There would have needed to be further consideration of the application of *Australian Securities & Investments Commission v Rich*[19], pertaining to other functions of Mr Reid, which was not done, and a determination made whether Mr Reid was a non-executive director or an executive director, as set out in *Daniels v Anderson*[20], which was not done.

(j) Further, a director's statutory duty to exercise a reasonable degree of care and diligence cannot be defined without reference to the nature and extent of the foreseeable risk of harm to the company that would otherwise arise. No act or omission is capable of constituting failure to exercise care and diligence under the section unless, at the relevant time, it was reasonably foreseeable that the Act or omission might cause harm to the interests of the company: *Vrisakis v Australian Securities Commission*[21], which was not done.

The Applicant's Alleged Involvement in the NDIS Sector since Banning Order

45. The Decision Letter claims that Mr Reid made various attempts to remain in the NDIS sector despite a prohibition against his engagement in the sector.[22]
46. In particular, this was related to two companies: Vitality WA Pty Ltd and Dream Big Employment Pty Ltd.
47. Mr Reid was never given an opportunity to respond to these claims. He responds as follows.

<u>Vitality WA Pty Ltd</u>

[18] (2005) 55 ACSR 617.
[19] (2003) 174 FLR 128.
[20] Ibid.
[21] (1993) 9 WAR 395.
[22] T Documents, T1.1, p 22, 41-43.

48. The Commission alleges Mr Reid sought to be *"involved in business that have links to NDIS"*. An adverse finding is made because this is an attempt *"...to remain involved in the NDIS sector..."* and he is finding *"...strategic or tactical ways to circumvent the terms of the banning order"*. On that basis, it was necessary to broaden the banning order[23]

49. The basis of the above is an email Mr Reid sent to several persons on 9 February 2023 encouraging them to work for his business Vitality WA Pty Ltd (**VWA**).[24] The email explains that Mr Reid's business is seeking to provide *"support service to disability providers".* Put simply, the intention was that the VWA would be a labour-hire business.

50. VWA is not an NDIS service provider; it does not provide any direct or indirect support and services to NDIS-funded participants, and it does not provide support, funding or guidance to an NDIS provider.

51. The business was never intended to directly engage with any NDIS participants or, in due course, seek to make claims or payment from the Commonwealth.[25] That is the two critical elements the banning order sought to prevent vis-à-vis Mr Reid.

52. Accordingly, it is nonsense to suggest that VWA was a vehicle to circumvent the banning.

Dream Big Employment Pty Ltd

53. In summary, it is alleged that Mr and Mrs Reid operated Dream Big Employment Pty Ltd (**DBE**) or were 'behind' it, notwithstanding the banning of orders.

54. Mr Reid denies the allegation.

55. In particular, the Commission alleges Mr Reid was involved in this business and, in support of this, relies substantially on the witness statement of Cassandra Burke dated 16 February 2023, namely at paragraphs 45 – 72.[26]

56. There are a number of concerning aspects to the witness statement of Ms Burke and what the Commission has apparently considered to be probative evidence. In particular:

    (a) Paragraph 45 – no details are given as to the source of the information;

    (b) Paragraph 52 – the statement is, in effect, hearsay on hearsay;

    (c) Paragraph 58 – the statement refers to an email which is not annexed to the

[23] T Documents T64.1 p 1344.
[24] T Documents, T65.1 p 1348
[25] T Documents T65.1 p 1351
[26] T Document 65.1

witness statement;

(d) Paragraph 72 – the statement is based on rumour, speculation and hearsay. No details are given as to the source of the statement; and

(e) Paragraph 73 – is completely irrelevant.

57. Additional concerning aspects to the Burke witness statement are as follows:

(a) Paragraphs 45 and 52 concern NDIS participant Jonathan Shapiera. However, there appears to have been no attempt by the Commission to seek his version of events. He had provided a witness statement prior to Burke, which was favourable to Mr Reid;[27]

(b) Paragraph 52 – is contradicted by another witness - Ms Virginie Fanny-Dulloo;[28] and

(c) Paragraph 72 – is contradicted by another witness - Ms Virginie Fanny-Dulloo.[29]

58. Indeed, Ms Fanny-Dulloo wholly discredits the allegation Mr Reid (or even Mrs Reid) operated DBE or had any real involvement.

59. The Respondent further alleged that Mr Reid is indirectly involved with Dream Big by using his mother, Ms Veronica Reid, as the only shareholder. That is rejected.

60. The Applicant denies any involvement save that referred to above. Accordingly, there is no basis for the findings in the Decision Letter in relation to VWA and DBE.

Mr Reid challenges the Decision Letter and his banning – contends he has done nothing wrong

61. The Decision Letter ultimately issued an amended banning order because:

(a) Mr Reid's alleged involvement in the NDIS sector post the original banning order. For the reasons referred to above, it is open to the Tribunal to find such grounds that do not exist. For the reasons referred to below it is submitted that the amended order was excessively wide and unreasonable; and

(b) of ongoing investigations of law enforcement agencies and the NDIA into fraud allegations against Mr Reid.[30]

62. As to the latter the following is submitted.

[27] T Document T19
[28] Documents T58 p 1270 and 1271
[29] T Documents T58 p 1263 - 1268
[30] T Documents T61.1 p1345

63. Throughout that entire time, the Respondent has constantly sought to link Mr Reid to the criminal charges against his wife, Vida Reid, asserting they were a relevant consideration.[31]

64. This was notwithstanding that the 'link' was based on very tenuous grounds.[32]

65. This was also notwithstanding the Commission knew the criminal charges were 'weak'. In this regard, we refer to a Commission internal document describing the purported breaches of Mrs Reid as in the nature of *"administrative and personal errors".*[33]

66. In reaching the Decision, the Commission had regard to the Statement of Material Facts (**SMF**), dated 19 October 2022, prepared by the NDIA and lodged in the criminal proceedings against Mrs Vida Reid.[34]

67. This is an irrelevant consideration for the purposes of determining whether the Applicant is a suitable person to provide support and services to participants because:

16.1 The SMF has not been established in any court or Tribunal, including as to validity or admissibility; and

16.2 There are no findings against the Applicant based on the allegations contained in the SMF.

68. Unsurprisingly, on 23 February 2024, the criminal charges against Mrs Reid were dropped.

69. Accordingly, it is submitted that the charges are not a relevant consideration for the Tribunal, and it is not appropriate for the Respondent to continue to rely on the now defunct criminal proceedings against Mrs Reid in relation to the assessment of Mr Reid's *"suitability"*.[35]

70. As to ongoing investigations into alleged fraud against NDIS involving Mr Reid, there is no documentation before the Tribunal that such investigations are, in fact, ongoing or current, and it is submitted that there is simply a lack of adverse evidence against Mr Reid.

<u>The Role of the Tribunal</u>

[31] T Documents, T1.1, p 21, 37.

[32] Mr Reid is briefly mentioned in a 19 October 2022 Statement of Material Facts V Reid. SeeT-Doc T8.

[33] T-9 page 159 at paragraph 4.

[34] Paragraph 11(f)(v) of the decision.

[35] T Documents, T64.1 p 1340.

71. The Role of the Tribunal is to either affirm the prior Decision or to *substitute the correct or preferable decision standing in the shoes of a decision maker.*[36]

72. In the present proceedings, it is the role of the Tribunal to determine under section 73ZN(2)(a) (iii) whether Mr Simon Reid is or is not suitable to be involved in the provision of support or services to people with disability, having regard to the NDIS Rules. None of the other subsections to section 73ZN(2)(a) are applicable.

Mr Reid's contentions

73. It is Mr Reid's central contention that he has done nothing wrong vis-à-vis claims to NDIS. He has not breached the NDIS Act, and there is no basis for the current banning order. He is suitable to be involved in the provision of supports or services to people with disability. Further and as referred to below there is no probative evidence in support of the banning order or, at the least, as to its unreasonably wide ambit.

74. He contends that, put simply, the T-documents contain a significant lack of evidence that Mr Reid 'was not and is not' suitable to be involved in the provision of support or services to people with disability.

75. Throughout these proceedings, the Respondent has maintained vague, nebulous claims that Mr Reid was involved in all aspects of Mrs Reid's NDIS businesses and that he was inseparable to the fraud claims against Ms Reid.

76. The Respondent has also made generalised claims that there were NDIS participants who were 'fearful' of raising complaints and that Mr Reid was responsible or connected to this fear. The claims extended to him generally not being suitable to be involved in the provision of support or services to people with disability.[37]

77. He denies the claims and notes the lack of probative evidence produced by the Respondent in support of these claims.

Rules of evidence in the Tribunal

78. Section 33(1)(c) of the Administrative Appeals Act 1975 (Cth) states, "*the Tribunal is not bound by the rules of evidence but may inform itself on any matter in such manner as it thinks appropriate".*

79. Relevantly, His Honour Justice Kerr has said:

> *"The task of a merits review tribunal is to give such weight to whatever relevant evidential material is before it as it determines it ought to bear: Hill J in Casey v Repatriation Commission (1995) 60 FCR 510 at 514 and Secretary*

[36] Kerr *"Keeping the AAT from becoming a court."* AIAL (NSW) Seminar (2013) at p 2 and 3

[37] In the course of the Respondent's application to stay these proceedings.

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> *Department of Social Security v Jordan (1998) 83 FCR 34 at 43. This is not to suggest that a merits review tribunal is unconstrained in that regard. Modern tribunals are almost always obliged to give reasons. If the weight placed upon particular evidence leads to the Tribunal making a decision which is so unreasonable that no reasonable decision-maker could have arrived at it reviewable legal error will have occurred; Associated Provincial Picture Houses Ltd v Wednesbury Corporation [1948] 1 KB 223 a review ground reinvigorated by the recent Decision of the High Court in Minister for Immigration and Citizenship v Li [2013] HCA 18 (8 May 2013). Legal error may also be shown if the reasoning processes of the Tribunal are irrational or illogical."*[38]

80. In addition to questioning the value or merit of much of the evidence the Respondent is relying on, there is criticism of the Respondent's investigation and, ultimately, the evidence that is or is not before the Deputy President.
81. The Applicant further submits that the Respondent relied on irrelevant material and that the Decision is legally unreasonable by reason of a lack of probative evidence or material upon which to find central conclusions of fact.

The Respondent's investigation

82. An administrative decision-maker should be unbiased and act fairly. They should comply with the rules of natural justice.[39]
83. However, it would seem that the Respondent, at least in the course of its investigation and ultimately the material the Respondent produced to the Tribunal, may be the product of a party not having always acted without bias or fairly.
84. In this regard, it is submitted that the Commissioner's investigators did not interview Mr and Mrs Reid before the banning orders were made. The Commissioner's investigators never questioned Mr and Mrs Reid about their relationship with any of the witnesses.40 Critically, the Commissioner's investigators never questioned them about any particular invoices or claims made against NDIS.
85. Indeed, the investigators never bothered to actually ask Mr Reid what his day-to-day involvement was with FFG, Hybrid Hive, VWA and DBE – or what he had to say

[38] Kerr op cit at p 3
[39] Ibid
[40] For example, former employees.

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about the particular allegations or claims relied upon to ban him or as to the scope of the orders.

86. The Respondent has produced several witness statements. A number of whom Mr Reid contends are elderly or suffer from mental health issues. However, the respective interview transcripts from which the statements were created have not been produced save belatedly that of Ms Fanny-Dulloo.[41]

87. Of the only one transcript produced, it is revealing as to the manner in which the Respondent's Investigators conducted that particular interview:

> *"INVESTIGATOR READ: So, with your skill set and everything, did you look at considering moving on away from the Reids? Because, you know the saying, "No" – you know, the saying, "No smoke without fire," or whatever but, you know, was it a concern to you that, you know, a government agency had made decisions against them?*
>
> *Ms FANNY-DULLOO: No, because it's allegation. I don't – I don't think it's true.*
>
> *Investigator Read: But - - -*
>
> *Ms FANNY-DULLOO: Like, it's not true. Like - - -*
>
> *INVESTIGATOR READ: - - - could you be blinded to that though?*
>
> *Ms FANNY-DULLOO: No.*
>
> *INVESTIGATOR READ: No?*
>
> *Ms FANNY-DULLOO: No."*[42]
>
> And
>
> *"INVESTIGATOR READ: So, there's a bit of a – bit of a link going on there, isn't there, as to some of the money or the ownership of Dream Big actually, one way or another, slithering its way to Simon and Vida."*[43]

88. At least in relation to the above interview, it can be concluded that the Respondent's investigators did not take a neutral stance in carrying out their investigation. It is open to the Tribunal to find that there was a clear adversarial bias against Mr Reid.

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[41] T Document T58
[42] Ibid at p 1183
[43] Ibid at p 1198

89. One wonders how the other interviews were conducted. Unfortunately, much of the source or original material, such as transcripts, has not been provided to the Tribunal.

90. It is also contended that not all internal Commission evidence or all favourable evidence available to Mr and Mrs Reid found its way to the relevant person and author of the Decision Letter.[44] In this regard, the Tribunal's attention is directed to T Document 64 p 1336 – 1337 and (for example) the evidence of Ms Fanny-Dulloo: [45]

> *"I've seen how – how the Reids, like, say – like, whatever it was – Forward Focussed or The Hive – how the Reids treated the people with disability. I've never seen them treated anyone without respect. I had never seen them, like, forcing or anything, like, you know, people to sign up or to, like, not give them the, you know, freedom of speech or whatever it is".*

> *"…if one – there's someone in the – who was working for that company turn around and say they were not treated properly by the Reids, I'm sorry, I call that "bullshit". Because they treated everyone with respect and also, like, you know – like, it was never like you can't go and talk to them, like, if you had an issue."*

91. Section 37(1)(b) of the AAT Act states, "*subject to any directions given under section 18B, every other document that is in the person's possession or under the person's control and is relevant to the review of the decision by the Tribunal."*

92. Section 33(1AA) of the AAT Act states, *"In a proceeding before the Tribunal for a review of a decision, the person who made the decision must use his or her best endeavours to assist the Tribunal to make its decision in relation to the proceeding".*

93. The following documents have not been produced to the Tribunal and Mr Reid:
    (a) Interview transcripts of all persons interviewed by the Respondent;
    (b) NDIA' Tactical Intelligence Report' dated 18 August 2022;
    (c) Briefing note EC22002429;
    (d) Briefing note EC22002521; or
    (e) Annexures to the witness statement of Cassandra Burke.

<u>Other persons may be banned under the NDIS Act</u>

[44] See T Document 64.1 at paragraph 11 (f), p1336
[45] T Documents T58 p1184

94. The central allegation against Mr and Mrs Reid relates to FFG and Hybrid Hive wrongfully making claims against NDIS. However, multiple persons were involved in those claims. Yet only Mr and Mrs Reid have been banned.

95. Section 73ZN(2) of the NDIS Act allows for banning orders in relation to *"a person who is or was employed or otherwise engaged by an NDIS provider, or a person who is or was a member of the key personnel of an NDIS provider",*

96. Section 11A defines 'key personnel' as:

> *"(a) a member of the group of persons who is responsible for the executive decisions of the person or entity;*
>
> *(c) any other person who has authority or responsibility for (or significant influence over) planning, directing or controlling the activities of the person or entity."*

97. The above means that other people may be subject to sanction for wrongdoing, not just directors.

98. Mr Reid relied upon and was entitled to rely on others as to the accuracy and correctness of claims, especially the Chief Financial Officer and accounting staff of the corporations, as is specifically provided for in section 189 of the *Corporations Act 2001* (Cth).

99. Yet it appears the Respondent has failed, possibly deliberately so, to investigate any other key personnel of FFG or Hybrid Hive.

100. Indeed, there has been no evidence produced that the Chief Financial Officer of the two companies, Mr Rejaul Alam, was ever questioned by the Respondent's investigators.

101. Currently before the Tribunal, there is no evidence as to who actually produced the invoices in question. No evidence as to why the said invoices were issued or the basis for doing so. Lastly, there is no evidence that Mr Reid directed anyone to raise a false invoice.

The ambit of the current banning order is excessively wide

102. At its highest, the Decision Letter found Mr Reid to have not provided sufficient oversight of corporate operations. No finding as to fraud was made against Mr Reid.

103. As to working in the NDIS sector post-banning, the Respondent's reasoning, as outlined in the Decision Letter, does not make sense. Either Mr Reid breached the

order, or he did not. If he did, then why was it necessary to broaden its scope?[46] If he did not, then he has done nothing in relation to setting up VWA.

104. Given the above, it is submitted that the ultimate orders made on 21 April 2023 can be described as overly excessive and ridiculous. The order states Mr Reid may not have *"...any involvement with or in the NDIS sector, in any capacity"* this means, for example, he:

    (a) cannot be involved in his son's care, who is disabled and an NDIS participant;

    (b) cannot operate a taxi if the passenger, payer or destination is in any linked to NDIS;

    (c) provide handyman services to a property if the customer or property is in any way linked to NDIS; or

    (d) sell food from a stall or shop (including as an employee) if the customer or payee is in any way linked to NDIS.

105. The orders are grossly disproportionate to what the Respondent found as to Mr Reid's conduct in the Decision Letter and the evidence before the Respondent.

Decision Sought:

106. In the premises of the above, the Respondent contends that NDIS' Decision dated 21 December 2022, being the decision subject of this review, should be set aside.

Signed by: Tom Monks
Lawyer for the Applicant
Dated: 15 July 2024

[46] See T Documents T65.1 p1344